

ALL FINAL TERM PAST PAPERS SOLVED SUBJECTIVE BY
BIYA AHMAD

1. Data was given and we have to find diluted EPS? (5)

Diluted EPS is a performance metric used to gauge the quality of a company's **earnings per share (EPS)** if all convertible securities were exercised. Convertible securities are all outstanding convertible preferred shares, convertible debentures, stock options (primarily employee-based) and warrants

2. One question was about to write the section that is applied in share issued at premium, at discount, at capital? (3)
3. **Issued shares** is a term of law and finance for the number of **shares** of a corporation which have been allocated (allotted) and are subsequently held by shareholders. The act of creating new **issued shares** is called **issuance**, allocation or allotment
4. the amount by which the amount received by a company for a stock issue exceeds its face value
5. At a **discount** specifically refers to **stock** that is sold for less than its nominal or par value. At a **discount** also refers to stocks or other securities that are sold below the present market value, similar to a sale on goods at a retail establishment
6. the part of the capital of a company that comes from the issue of share
- 7.
8. What provision reduce asset? (3)
IAS37
9. One question was about to write disclosure requirement of revenues, IAS 18?

What is revenue 3 marks

Revenue is the amount of money that a company actually receives during a specific period, including discounts and deductions for returned merchandise

Find value premium 3 marks

In investing, **value premium** refers to the greater risk-adjusted return of **value** stocks over growth stocks

Selling cost 3 example 3 marks

Selling expense (or sales expense) includes any **costs** incurred by the sales department. These **costs** typically include the following: Salesperson salaries and wages. Sales administrative staff salaries and wage

Share capital 5 marks

the part of the **capital** of a company that comes from the issue of shares

Contingent liabilities 5 marks

A **contingent liability** is a potential **liability** that may occur, depending on the outcome of an uncertain future event. A **contingent liability** is recorded in the accounting records if the contingency is probable and the amount of the **liability** can be reasonably estimated

Future value find 3 marks

Future value is the **value** of an asset at a specific date. It measures the nominal **future** sum of money that a given sum of money is "worth" at a specified time in the **future** assuming a certain interest rate, or more generally, rate of return; it is the present **value** multiplied by the accumulation function

Difference financing and investing activities 3 marks

A category in a company's cash flow statement that accounts for external **activities** that allow a firm to raise capital and repay investors, such as issuing cash dividends, adding or changing loans or issuing more stock. Cash flow from **financing activities** shows investors the company's **financial** strength

cash flow from **investing activities** is an item on the cash flow statement that reports the aggregate change in a company's cash position resulting from any gains (or losses) from **investments** in the financial markets and operating subsidiaries and changes resulting from amounts spent on **investments** in capital assets

Questions

Find Eps

Earnings per share (EPS) is the portion of a company's profit allocated to each outstanding share of [common stock](#). [Earnings](#) per share serves as an indicator of a company's profitability.

calculated as = net income-dividend preferred stock/average outstanding shares

Find compound value

Is ways to calculate Future Value (FV)

- 1) For an asset with simple annual interest: = Original Investment x (1+(interest rate*number of years))
- 2) For an asset with interest compounded annually: = Original Investment x ((1+interest rate)^number of years)

Operating activity

- 2) These are the company's core business **activities**, such as manufacturing, distributing, marketing and selling a product or service. **Operating activities** should generally provide the majority of a company's cash flow and largely determine whether a company is profitable

Operating lease

Operating lease is a contract wherein the owner, called the Lessor, permits the user, called the Lessee, to use of an asset for a particular period which is shorter than the economic life of the asset without any transfer of ownership rights

Accounting policy

Accounting policies are the specific principles, rules and procedures implemented by a company's management team and are used to prepare its financial statements. These include any methods, measurement systems and procedures for presenting disclosures

Contents of prospectus

(i) It is a document issued as a **prospectus**; (ii) It is an invitation to the member of the public; (iii) The public is invited to subscribe to the shares or debentures of the **company**; ... (v) It is a document by which the **company** procures its share capital needed to carry on its activities

Interest revenue and borrowing cost

The other way of earning **interest revenue** is when a company deposits or invests money with a bank - the bank pays the company **interest** on the deposit or the investment. Either way **interest revenue** is earned, it's reported on the company's income statement

Borrowing costs are 'interest and other **costs** that an entity incurs in connection with the **borrowing** of funds'. A qualifying asset is defined as 'an asset that necessarily takes a substantial period of time to get ready for its intended use or sale

Define development cost (3)

Development costs are the **costs** a business incurs from researching, growing and introducing a new product or service. **Development costs** are commonly referred to as research and **development costs**. These **costs** can include a host of expenses, such as marketing analysis, developmental engineering and customer surveying

Define Admin cost (3)

The salaries of senior executives and **costs** of general services (such as accounting, contracting, and industrial relations) fall under this heading. **Administrative costs** are related to the organization as a whole as opposed to expenses related to individual departments. Also called **administrative** expense

Retrospective Application (3)

A **retrospective application** is the **application** of a new accounting principle as if that principle had always been applied. The concept is used when the financial statements for multiple periods are being presented.

What u know about the Cost of goods sold (3)

Cost of goods sold (COGS) are the direct costs attributable to the production of the **goods sold** by a company. This amount includes the **cost** of the materials used in creating the good along with the direct labor costs used to produce the good. ... Also referred to as "**cost** of sales

Classification of operating, financing and investing activity (5)

A category in a company's cash flow statement that accounts for external **activities** that allow a firm to raise capital and repay investors, such as issuing cash dividends, adding or changing loans or issuing more stock. Cash flow from **financing activities** shows investors the company's **financial** strength

cash flow from **investing activities** is an item on the cash flow statement that reports the aggregate change in a company's cash position resulting from any gains (or losses)

from **investments** in the financial markets and operating subsidiaries and changes resulting from amounts spent on **investments** in capital assets

Which type of matters are discussed in special resolution (5)

A **special resolution** is a **resolution** of the company's shareholders which requires at least 75% of the votes cast by shareholders in favour of it in order to pass. Where no **special resolution** is required, an **ordinary resolution** may be passed by shareholders with a simple majority – more than 50% – of the votes cast

What u know about income statement (5)

An **income statement** or profit and loss account (also referred to as a profit and loss **statement** (P&L), **statement** of profit or loss, revenue **statement**, **statement** of financial performance, earnings **statement**, operating **statement**, or **statement** of operations) is one of the financial **statements** of a company and shows the

Prepare profit and loss appropriate account (5)

steps of formation of company 3

1. Promotion of a Company
2. Registration of a Company
3. Certificate of Incorporation; and
4. Commencement of the Business

what accountant face prior errors define according to IAS 08 3

Prior Period Errors are omissions from, and misstatements in, prior period financial statements resulting from the failure to use, or the misuse of, reliable information that was available, or could be reasonably expected to have been obtained, at the time of preparation of those financial statements. (Adapted from IAS 8)

Examples of accounting errors included the following:

- Misapplication of accounting policies: e.g. not recognizing sale upon transfer of goods to a customer
- Fraud: e.g. overstating sales revenue by issuing fake invoices before the reporting date
- Misunderstanding of, or failure to notice, information at the time of preparation of financial statements:
e.g. not writing off a receivable who had been announced as insolvent before the authorization of financial statements

- Arithmetical Errors
- Omission of transactions and events from the financial statements

shares chapter 3

In financial markets, a share is a unit of account for various investments. It often means the stock of a corporation, but is also used for collective investments such as mutual funds, limited partnerships, and real estate investment trusts. Corporations issue **shares** which are offered for sale to raise share capita

which book value of account most suitable according to companies ordinance act 1984 section 236/ 5

The directors of a holding company required to prepare consolidated financial statements under section 237 shall make out and attach to consolidated financial statements, a report with respect to the state of group's affairs and all provisions of sub-sections (2), (3) and (4) shall apply to such report as if for the word "company" appearing in these sub-sections the word "holding company" were substituted.

the book value of asset 8796 has destroyed due to fire after balance sheet date,define which event is this? and what accounting treatment will be for this asset? 5

IAS 10

IAS 10 and FRS 21, events after the balance sheet date

by **Neil Stein**

15 Mar 2007

Events after the balance sheet date and before financial statements are issued can have important effects on the financial statements. For example, the bankruptcy of a major customer would normally be evidence that the trade receivable should be written off or an allowance made as at the balance sheet date.

There is another type of event after the balance sheet date - one that does not affect the position at the balance sheet date, but which still needs disclosure in some way to prevent users being misled. An example of such an event might be a material fall in the market value of investments.

General provisions

Events after the balance sheet date are divided into two types, corresponding to the two

examples just given. The definition in IAS 10 is:

Events after the balance sheet date are those events, both favourable and unfavourable, that occur between the balance sheet date and the date when the financial statements are authorised for issue.

Two types of events can be identified:

(a) those that provide evidence of conditions that existed at the balance sheet date (adjusting events after the balance sheet date); and

(b) those that are indicative of conditions that arose after the balance sheet date (nonadjusting events after the balance sheet date).

Material adjusting events require changes to the financial statements.

Examples of such events given in IAS 10 and FRS 21 are:

(a) the resolution of a court case, as the result of which a provision has to be recognised instead of the disclosure by note of a contingent liability;

(b) evidence of impairment of assets:

(i) bankruptcy of a major customer;

(ii) sale of inventories at prices

suggesting the need to reduce the balance sheet figure to the net value actually realised.

Nonadjusting events do not, by definition, require an adjustment to the financial statements, but if they are of such importance that non-disclosure would affect the ability of users of the financial statements to make proper evaluations and decisions, the enterprise should disclose by note:

- the nature of the event;

- an estimate of its financial effect, or a statement that such an estimate cannot be made.

Examples of such events given in IAS 10 and FRS 21 are:

(a) decline in market value of investments;

(b) announcement of a plan to discontinue part of the enterprise;

(c) major purchases and sales of assets;

- (d) expropriation of assets by government;
- (e) destruction of a major asset by fire etc;
- (f) a major business combination after the balance sheet date;
- (g) sale of a major subsidiary;
- (h) major dealings in the company's ordinary shares;
- (i) abnormally large changes in asset prices or foreign exchange rates;
- (j) changes in tax rates with a significant effect on current and deferred tax assets;
- (k) entering into significant commitments or contingent liabilities;
- (l) commencing major litigation arising solely out of events after the balance sheet date.

Further provisions of IAS 10 and FRS 21

(a) Authorisation for issue of financial statements

An enterprise should disclose the date when the financial statements were authorised for issue and who gave that authorisation. If the owners or others have the power to amend the financial statements after issue, that fact should be disclosed.

(b) Going concern

If the management decides after the balance sheet date that it is necessary to liquidate the enterprise, the financial statements should not be prepared on a going concern basis.

(c) Dividends

Proposed dividends may no longer be recognised as liabilities if, as will normally be the case, they are proposed or declared after the balance sheet date.

The disclosure of proposed dividends may be given in one of two ways:

- (a) by note
- (b) on the face of the balance sheet as a separate component of equity.

if opening account receivable are 150000
account receivable end of year 152000

credit sales are 25000 5

find out total cash received

find out future value of your investment according to given data

one long question was from lease chapter

calculate lease amortization 5

.....

1. provision for warranty?? 3

Provisions for warranty claims are recorded at the time products are sold and are reviewed and adjusted by management periodically to reflect actual and anticipated experience. An analysis of changes in the liability for product **warranty** claims is as follows: For the Years Ended.

2. 1 application to record errors?? 3

3. methods to prepare cash flow statement?? 3

When you use the indirect **method** of **preparing** the **statement of cash flows**, the operating section starts with net income from the income **statement**. You then adjust net income for any noncash items hitting the income **statement**. One typical adjustment is for depreciation, which is a noncash transaction

4. ledger entries?? 5

In bookkeeping and accounting, a **ledger** is a book (or record) for collecting chronological transaction data from a journal, and organizing **entries** by account.

6. calculate shareholder's equity??/ 5

Shareholders' equity is equal to a firm's total assets minus its total liabilities and is one of the most common financial metrics employed by analysts to determine the financial health of a company

7. present value?? 5

the value in the present of a sum of money, in contrast to some future value it will have when it has been invested at compound interest

😊 **Common Components of Memorandum (5 marks)**

😊 A good memo organizes the information to be conveyed both for the reader's convenience and ease of understanding and to achieve the writer's purpose in the most effective way.

😊 **Jump to:**

😊 Heading

😊 Opening

😊 Summary

😊 Discussion paragraph(s)

😊 Your closing

😊 Attachments



😊 **Q2:What do you know about distribution Cost?**

Distribution costs (also known as “**Distribution Expenses**”) are usually defined as the **costs** incurred to deliver the product from the production unit to the end user. It is a broad terminology and it includes several **costs**



😊 (5 marks) (5 activities were given,, this question is related to cash flow statement)



😊 The three categories of **cash flows** are operating **activities**, investing **activities**, and financing **activities**. Operating **activities** include **cash activities** related to net income. Investing **activities** include **cash activities** related to noncurrent assets



Q4:Format of income statement on the basis of functions of expense (5 marks)

An income statement by function is the one in which expenses are disclosed according to their functions such as cost of goods sold, selling expenses, administrative expenses, other expenses/losses etc.

Company A
Income Statement
For the Year Ended June 31, 2011

Sales		\$789,160
Cost of Goods Sold		<u>-445,940</u>
Gross Profit		\$343,220
Operating Expenses:		
Selling Expenses	\$109,310	
Administrative Expenses	<u>127,270</u>	
Total Operating Expenses		<u>-236,580</u>
Operating Income		\$106,640
Other Incomes/Expenses:		
Gain on Sale of Equipment	\$3,570	
Interest Expense	<u>-1,150</u>	
Net Other Incomes/Expenses:		<u>2,420</u>
Net Income		<u><u>\$104,220</u></u>



Q5: Format of Profit and Loss Appropriation Account for a limited company (3 marks)



However for a Limited Company, a typical Profit And Loss Appropriation Account will look like below:



Profit And Loss Appropriation Account for XYZ Limited Co.

Note		\$
1	Net profit for the year	
	Less:	
2	Corporation Tax	
	Net Profit After Tax	
	Add:	
	Profit & loss account balance brought forward	
	Less:	

3	Transfer to General reserve	
4	Dividends: Preference	
	Ordinary	
5	Profit And loss account balance carried forward	



Q6:How expenses are aggregated according to functions. (3 marks)



The Aggregate Operating Expenses action rolls up operating expenses that occur as part of maintenance work orders, service desk actions, or expensed project actions, and creates a set of Scheduled Cost (cost_tran_sched) records for these charges. The action aggregates these records on a per-building (or per-property if the Building Code is null), per month basis, so these costs can be included in examinations of monthly operating expenses

limitations of retrospective,IAS 08.5 mrks.

IAS international accounting standards basically controls the accounting and auditing standards according to worldwide standards

recognition Measurement, Presentation and Disclosure of Long Term Investments is governed by following Standards

C□IAS 27 Consolidated and Separate Financial Statements

C□IAS 28, Investments in Associates

C□IAS 31, Interests in Joint Ventures

S□IAS 32, Financial Instruments Disclosure and Presentation

C□IAS 39, Financial Instruments Recognition and Measurement

IAS 23 deals with borrowing cost

IAS 01IAS affect(s) the recognition, presentation and Discourse of fixed assets in financial statements

IAS 16 deals with Revaluation of Assets?

IAS is related to the Consolidated and Separate
Financial Statements IAS 27

IAS 32 and 39 mainly cover Financial Instruments. Investments that are not covered by IAS 27,
28 and 31 are covered under IAS 32 and 39 as Financial Instruments

IAS 40=investment property

IAS 8= retrospective

IAS 16= property plant and equipment

IAS 10= events after the balance sheet

IAS 11= construction contracts

IAS 32=financial instruments

IAS 31=interest on joint venture

IAS 33=earning per share

IAS 37=contingent liabilities

IAS 23= borrowing

IAS 17= lease

WWW.VUTUBE.EDU.PK

MGT401

Final Term Examination – Spring 2006

Time Allowed: 150 Minutes

Question No. 1

Marks : 1

Finance cost includes _____ paid on loan, lease and other costs paid to obtain financial services.

Question No. 2

Marks : 3

The issue of the shares at discount must be authorized by resolution passed in _____ of the company and must be sanctioned by the Commission.

1. General Meeting
2. Extra Ordinary Meeting
3. Statutory Meeting
4. None of the given options

Question No. 3

Marks : 3

Property, plant and equipment are carried in the books of accounts in accordance with the requirements of :

1. IAS 2
2. IAS 4
3. IAS 16
4. IAS 28

Question No. 4

Marks : 1

_____ is not required to issue a prospectus as it is prohibited by its article from inviting general public to subscribe for its shares.

1. A private company

2. A public company
3. A listed company
4. A non listed company

Question No. 5

Marks : 1

Interest and other costs incurred by an enterprise in connection with the borrowing of funds is known as:

1. Borrowing cost
2. Historical cost
3. Conventional cost
4. Current cost

Question No. 6

Marks : 1

The amount in excess of the face value of the share is called:

1. Premium
2. Discount
3. Rebate
4. Interest

Question No. 7

Marks : 1

Cash flow statement is divided into four components: Operating, Financing, Investing, and Leasing Activities.

1. True
2. False

Question No. 8

Marks : 1

Example of Non-Current Liabilities under 4th schedule is:

1. Debentures
2. Liabilities against assets subject to finance lease
3. Long term Murabaha
4. All of the given options

Question No. 9

Marks : 1

Basic EPS should be calculated by:

1. = Net profit or loss for the period / Weighted average number of ordinary shares
2. = Net profit or loss for the period x Weighted average number of ordinary shares
3. = Weighted average number of ordinary shares / Net profit or loss for the period
4. = Earnings – Profit attributable to Preference Shareholders / Net profit or loss for the period

Question No. 10

Marks : 3

What is the importance of Prospectus under section 2 (1) 29 in an organization? Explain its content as per lay down under section 53 of Companies Ordinance 1984.

Question No. 11

Marks : 3

A legal obligation is an obligation that derives from:

1. A Contract
2. A Legislation
3. The Operation of law
4. All of the given options

Question No. 12

Marks : 10

In lease agreement, minimum lease payments include:

1. Initial payment or down payment
2. All lease rentals
3. Any amount that is guaranteed to be paid during or at the end of the lease term
4. All of the given options

Question No. 13

Marks : 1

The aggregate amount or the value of the premium on shares shall be transferred to an account, called _____

Question No. 14

Marks : 1

Following are the examples of the cash flows. Write the names of components of cash flow to which they are directly related:

- ☒ Cash receipt from sale of Property, Plant and Equipment
- ☒ Cash payments to Owners i.e. dividend, drawings etc
- ☒ Cash receipt from sale of goods and rendering of services

Question No. 15

Marks : 1

Royalties shall be recognized on an accrual basis in accordance with the substance of the relevant agreement.

1. True
2. False

Question No. 16

Marks : 1

A Furnace has a lining that needs to be replaced every 5 years due to technical reasons. At the balance sheet date, the lining has been in use for 3 years. Comments the above example in accordance to IAS 37, should there any legislative requirement or provision be recognized or not?

Question No. 17

Marks : 1

If the closing balance is lower than the difference of the opening balance and depreciation for the Year, it shows:

1. An addition of fixed assets has been taken place
2. A disposal of fixed assets
3. Fixed assets are installed under finance lease
4. None of the given options

Question No. 18

Marks : 10

In case of tangible non-current assets, if a policy of revaluation is adopted for the first time, then this is treated as:

1. No change in Accounting Policy under IAS 8
2. A change in Accounting Policy
3. A revaluation under IAS 16 Property, Plant and Equipment
4. None of the given options

Question No. 19

Marks : 1

An asset has been leased on July 01, 2005 at a cost of Rs. 871,000. The security deposit Rs. 300,000 and lease rentals include 4 annual installments of Rs. 200,000 each, starting from June 30, 2006. The implicit rate of return (IRR) is 15% p.a. Depreciation is to be charged at 20% on written down method and Residual value is Rs. 200,000.

Draw the entries for the following:

1. Recording of asset at the inception of lease
2. Recording of current maturity at the inception of lease
3. Payment of security deposit
4. Payment of first rental installment as on June 30, 2006
5. Recording of current maturity as on June 30, 2006

Question No. 20

Marks : 1

Recording and disclosure on gains / losses arising from foreign currency transactions is included in IAS 21 titled as _____ .

Question No. 21**Marks : 1**

Right shares are issued when accumulated profit is being capitalized by the issuance of shares.

1. True
2. False

Question No. 22**Marks : 1**

_____ is the estimated selling price in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

Question No. 23**Marks : 1**

Liquidity is defined as:

1. Excess of income over expenditures
2. Income generating capability of the business
3. Ability of a business to pay its debts in time
4. Excess of expenditures over income

Question No. 24**Marks : 1**

If an entity declares dividends to the holders of equity instruments after the balance sheet date, the entity shall not recognize those dividends as a :

1. Equity
2. Deferred Liability
3. Liability
4. Asset

Question No. 25**Marks : 3**

The information as to profitability is provided by the balance sheet of the entity.

1. True
2. False

Question No. 26**Marks : 1**

Differentiate between Profit Oriented and Non-Profit Oriented entities.

Question No. 27**Marks : 1**

How many ways are there to reduce the share capital of a company? Write down their names with sections.

Question No. 28

Marks : 1

Under IAS 33 _____ is widely used by investors as a measure of a company's performance.

Question No. 29

Marks : 1

Which of the following asset is specifically excluded from Financial Assets:

1. Investments
2. Prepaid Expenses
3. Physical Assets
4. Both Prepaid Expenses & Physical Assets

Question No. 30

Marks : 1

Lease accounting is regulated by _____ which was introduced because of abuses in the use of lease accounting by companies.

1. IAS 17
2. IAS 12
3. IAS 39
4. IAS 32

Question No. 31

Marks : 1

Differentiate between Finance Lease and Operating Lease.

Question No. 32

Marks : 1

A contractual arrangement whereby, two or more parties undertake, an economic activity which is subject to joint control, is called Subsidiary Companies.

1. True
2. False



Types of Planning?

Informal Planning

1. Nothing is written down
2. Little or no sharing of goals
3. General and lacking in continuity

Formal Planning

1. Written and defined specific goals
2. Specific action programs exist to achieve goals

Approaches to Planning

Inclusive Approach

Employees at each level develop plans suited to their needs

Employees acquire greater sense of the importance of planning when they participate in the process

The planning process 'Setting goals and developing plans that leads to goal attainment and ultimately, to organisational efficiency and effectiveness.'

How Do Managers Plan?

Steps in Goal Setting

- 1 - Review the organization's mission
- 2 - Evaluate available resources
- 3 - Determine the goals individually or with input from others
4. Should be congruent with the organizational mission and goals in other organizational areas
- 5- Write down the goals and communicate them to all who need to know them
- 6- Review results and whether goals are being met

The planning process

Mission

The organisation's purpose or fundamental reason for existence.

Goal

Future target or end result an organisation wishes to achieve.

Plan

Means devised for attempting to reach a goal.

Organisational Mission

Mission statement may:

Be unwritten.

Address customers,

products/services, location,

technology, concern for survival,

concern for public image,

concern for employees.

Organisational Goals

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Benefits of Goals

Increases Performance
Clarifies Expectations
Facilitates Control
Increases Motivation

Levels of goals

Top Managers

Middle Managers

1st level Managers

Goals and Performance

Organisational Perspective

Departmental Perspective

Unit/individual Perspective

Key Aspects:

1.Goal Content

2.Goal Commitment

3.Work Behaviour

4.Other Process Components

5.Possible Problems

Goal Content

Content should be:

Challenging

Specific

Measurable

Attainable

Relevant

Time limited

Goal Commitment

Influenced by:

Supervisory Authority

Peer & Group Pressure

Public Display

Expectations of Success

Incentives & Rewards

Participation

Goals & Work Behaviour

Goals & Commitment affect

Work Behaviour:

Direction

Effort

Persistence

Planning

Goals & other Process Components

Job process components

affect performance:

Job Knowledge & Ability

Task Complexity

Situational Constraints

Goals & Possible Problems

Possible Problems with Goals:

Excessive risk taking

Increased stress

Undermined self-confidence

Ignored non-goal area
Excessive short-run thinking
Dishonesty & cheating

Levels of Goals and Plans:

Operational

Tactical

Strategic

Linking Goals & Plans

Time span of Goals and Plans:

Short (Operational)

Intermediate (Tactical)

Long range (Strategic)

How to Make a Plan That Works Developing Effective Action Plans Starting at the Top

A Corporation's Mission Bending in the Middle Finishing at the Bottom Linking Goals & Plans

Recurring use:

Single use

Standing Plans-

Policies,

Procedures,

Rules

Kinds of Operational Plans

Special-Purpose Plans

Management by Objectives (MBO)

'Process through which specific goals are set collaboratively for the organisation as a whole and every unit within it;

The goals are then used as a basis for planning, managing organisational activities, and assessing and rewarding contributions.'

Steps in the MBO process:

1. Develop organisational goals
2. Establish specific goals for departments
3. Formulate action plans
4. Implement & maintain 'self-control'
5. Review progress periodically
6. Appraise performance

Strengths:

1. Helps link goals & plans
2. Clarifies priorities, and expectations
3. Fosters organisational communication
4. Builds member motivation

Weaknesses:

1. Needs strong, enduring commitment
2. Requires training of managers
3. May be misused (i.e. for punishment)
4. Risk of dominance of quantitative goals

Strategic Management

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Large scale action plan for interacting with the environment to achieve long term goals.

Concepts of Strategic Management

- 1.Strategic management process
- 2.Importance of strategic management
- 3.Levels of strategy

Strategic Management

Strategic Management Process:

‘Process through which managers Formulate and Implement strategies geared to optimising strategic goal achievement, given available external and internal environmental conditions.’

Strategy Formulation

- 1.Identify Mission & Goals
2. Competitive Situation Analysis (external & internal)
- 3.Develop / Formulate strategies to achieve identified goals

Strategic Management

Strategy Implementation

- 1.Implement Plans
- 2.Control / Monitor execution of Plans

Importance of Strategic Management

Important because:

- 1.Helps organisations to develop a competitive advantage (significant edge over competition in dealing with competitive forces).
- 2.Provides a sense of long-term direction for organisation members.
- 3.Highlights need for innovation.
- 4.Process involves members and fosters understanding of goals/strategy.

What Would You Do?

You are Head of a Furniture Company...

The furniture industry is highly fragmented and You like to turn this into opportunities!

What Would You Do?

You like to formulate strategies that include low prices and convenient packaging.

Will the strategies work on a global basis?

How can You identify opportunities and threats, and select a competitive advantage strategy?

A way of approaching business opportunities and challenges.

A comprehensive and ongoing management process aimed at formulating and implementing effective strategies which align the organization with its environment to achieve major organizational goals.

Importance of Strategic Management

- 1.Direction for Organization
- 2.Competitive Advantage
- 3.Builds Managers Commitment
- 4.Supports Innovation

The Basic Strategic Planning Process

The Components of Strategy

1. Distinctive Competence something the organization does exceptionally well!
2. Scope Range of markets in which the organization will compete
3. Resource Deployment. How an organization distributes its resources across areas in which it competes

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Competitive analysis in strategy formulation

SWOT analysis:

Method of analysing an organisation's competitive situation involving assessing organisational strengths (S), weaknesses (W), environmental opportunities (O) and threats (T).

Environmental Assessment:

Five Competitive Forces Model (Porter)

Competitive Analysis in Strategy Formulation

1. Rivalry among Existing Firms
2. Bargaining power of Customers
3. Bargaining power of Suppliers
4. Threat of New Entrants
5. Threat of Substitute products/services within the Industry.

Levels of strategy

Corporate Level Strategy:

'Type of strategy addressing what businesses the organisation will operate, how strategies of those businesses will be co-ordinated to strengthen the organisation's competitive position, and how resources will be allocated among businesses.'

Business Level Strategy:

'Type of strategy concentrating on the best means of competing within a particular business while also supporting corporate level strategy.'

Functional Level Strategy:

'Type of strategy focussing on action plans for managing a particular functional area within a business in a way that supports business level strategy.'

Competitive Analysis in Strategy Formulation

Before managers devise an effective strategy for getting a competitive edge, they must analyse the organisation's competitive situation.

This is done through:

Environmental analysis (external)

Organisational assessment (internal)

Formulating Corporate Level Strategy

Corporate level strategy is the overall strategy an organisation follows.

Its development involves selecting a Grand Strategy and using Portfolio-Strategy approaches to determine the various businesses making up the organisation:

Portfolio Strategies:

Method of analysing an organisation's mix of businesses in terms of both individual and collective contributions to strategic goals.

1. BCG Growth–Share Matrix

Compares businesses in an organisation's portfolio on the basis of relative market market share and market growth rate.

2. Product–Market Evaluation Matrix

Compares businesses' strength against product/market life-cycle.

Formulating Corporate Level Strategy

Grand Strategies

1. Growth

Concentration

Vertical integration

Diversification

2.Stability

Harvest

Turnaround

3.Defensive

Divestiture

Bankruptcy

Liquidation

Formulating Business Level Strategy

1.Business level strategy is concerned with how a particular business competes.

2.The best known approach for strategy development is based on Porter's research.

Generic Business Strategies:

Porter outlined three generic business level strategies to gain competitive advantage over other firms operating in the same industry.

Generic Business Strategies (Porter)

1.Cost Leadership Strategy

Emphasises operational efficiency i.e. overall costs are lower than competitors.

2.Differentiation Strategy

Attempts to develop products/services viewed as unique in the industry.

3.Focus strategy

Concentration on a segment, portion of a market.

Functional level strategies spell out specific ways that functional areas can bolster business level strategy.

For example:

Under a product *differentiation* strategy, the R & D dept. may accelerate the innovation process to provide new products in advance of competitors.

Strategy Implementation

Strategy implementation involves management activities needed to put the strategy in motion, institute strategic controls for monitoring progress, and ultimately achieve organisation goals.

The Nature of Entrepreneurship

Entrepreneurship:The process of planning, organizing, operating, and assuming the risk of a business venture.

Entrepreneur:Someone who engages in entrepreneurship.

Small Business:

A business that is privately owned by one individual or a small group of individuals; it has sales and assets that are not large enough to influence its environment.

Three Basic Strategic Challenges:

1.Choosing an Industry in which to compete.

2. Emphasizing, Distinctive, Competencies.

3. Writing a Business Plan.

Writing a Business Plan

A Business Plan is a document that summarizes the business strategy and structure.

It should include:

1. Business Goals and Objectives.

2. Strategies used to achieve these goals and objectives.

3. A plan of HOW the entrepreneur will implement these strategies.

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Financing the New Business

1. Personal Resources

Using your own money and money borrowed from friends and relatives to finance the business.

2. Strategic Alliances

Partnering with established firms such as suppliers in a mutually beneficial relationship.

3. Lenders

Obtaining funding from traditional lenders (e.g., banks, independent investors, and government loans).

4. Venture Capital Companies

Groups of small investors who provide capital funds to small high-growth potential start-up firms in exchange for an equity position (stock) in the firms.

The Role of Entrepreneurship in Society

Job Creation

1. Small business creates many new jobs in Pakistan.
2. Industry sectors dominated by small business have added the most jobs.

Innovation

Historically, major innovations are as likely to come from small businesses as from large firms.

Promoting Innovation

Entrepreneurship:

Encourage the take-up of entrepreneurship roles by organisation members e.g:

Idea generator

Idea champion

Idea sponsor

Promoting Innovation

Innovation is critical to various differentiation strategies.

Forces for Change & Innovation:

Promoting Innovation

Structure's ability to support strategy can be enhanced by using structural means to encourage innovation.

Key Concepts

Organizing

Deciding how to best group organizational activities and resources!

Responsibility

Obligation to carry out duties and achieve goals related to a position.

Authority

Right to make decisions, carry out actions, and direct others in matters related to the duties and goals of a position.

Accountability

Requirement to provide satisfactory reasons for significant deviations from duties or expected results.

Delegation

Assignment of part of a manager's work to others, along with both responsibility and authority necessary to achieve expected results.

Autonomy

Amount of discretion allowed in determining schedules and work methods for achieving required output.

Feedback

Degree to which the job provides for clear and timely information about performance results.

Organization Chart

Line diagram depicting broad outlines of an organization's structure!

Nature of Organisational Chart/Structure

Principles of Chart Design:

1. As few hierarchical levels as possible.

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

2. Charts should show who has authority over who.
3. Charts should show official lines of responsibility & communication.

Organization Structure

Set of building blocks that can be used to configure an organization!

Nature of Organisational Structure

Formal pattern of interactions and co-ordination designed by management to link the tasks of individuals and groups in achieving organisational goals.

Four elements:

1. Assignment of tasks and responsibilities to individuals and units.
2. Clustering these (units and people) to form a hierarchy.
3. Mechanisms for vertical co-ordination.
4. Mechanisms for horizontal co-ordination.

1. Designing Jobs (Job Specialization)
2. Grouping Jobs (Departmentalization)
3. Establishing Reporting Relationships
4. Distributing Authority
5. Coordinating Activities
6. Differentiating Between Positions

1. Job Design

The determination of an individual's work-related responsibilities.

Specification of task activities associated with a particular job

Job Specialization

Degree to which the overall task of the organization is broken down into smaller components.

Benefits

1. Workers can become proficient at a task
2. Transfer time between tasks decrease
3. Specialized equipment can be developed
4. Employee replacement becomes easier

Limitations

1. Employee boredom and dissatisfaction
2. Anticipated benefits do not always occur
2. Grouping Jobs: Departmentalization

The process of grouping jobs according to some logical arrangement.

Rationale for Departmentalization

Organizational growth exceeds the owner-manager's capacity to personally supervise all of the organization.

Additional managers are employed and assigned specific employees to supervise.

Departmentalization

4 Basic Types:

1. Functional
2. Product
3. Customer
4. Location

Functional Departmentalization

Functional Structure

Structure in which positions are grouped according to their main functional (or specialised) area.

Advantages

1. Department can be staffed by experts
2. Supervision is facilitated

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

3. Coordination within department is easier

Disadvantages

1. Decision making becomes slow and bureaucratic
2. Lose sight of organizational goals/issues
3. Accountability and performance are difficult to monitor

1. Managers

but have broader experiences

specialize,

2. Easier to assess work-unit performance

3. Decision-making is faster.

Customer Departmentalization

Focuses on customer needs

Products and services tailored to customer needs

Geographic Departmentalization

Responsive to the demands of different market areas.

Unique resources located close to the customer

Matrix Departmentalization

Efficiently manage large, complex tasks

Effectively carry out large, complex tasks

3. Establishing Reporting Relationships

Chain of Command

The vertical line of authority in an organization. Clarifies who reports to whom.

Unity of Command

Each person within an organization must have a clear reporting relationship to one and only one boss.

Span of Management

(Span of Control)

The number of people who report to a particular manager.

Narrow versus Wide Operative Span - Upto 30 Subordinates Executive Span - 3 to 9 Subordinates

Tall versus Flat Organizations

Tall Organizations

1. More expensive .
2. Communication can be difficult because of the number of channels through which it must pass.

Flat Organizations

1. Leads to higher levels of employee morale and productivity.

2. More administrative responsibility for managers.

3. Tall Versus Flat Organizations

4. Distributing Authority

Delegation

The process by which managers assign a portion of their total workload to others.

Reasons for Delegation

1. To enable the manager to get more work done by utilizing the skills and talents of subordinates.
2. To foster the development of subordinates by having them participate in decision making and problem solving that allows them to learn about overall operations and improve their managerial skills.

Centralization of Authority

Primary authority is held by upper management

Decentralization

Significant authority is found in lower levels of the organization

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

5. Coordinating Activities

The process of linking the activities of the various departments of the organization.

6. Differentiating Between Line & Staff Positions

Line Positions

Positions in the direct chain of command that are responsible for the achievement of an organization's goals/profits.

Staff Positions

Positions intended to provide expertise, advice, and support to line positions.

Staff Authority

The right to advise but not command others. An activity that supports profit generation.

Job Rotation

Enlargement, and Enrichment Job Rotation Periodically moving workers from one specialized job to another.

Job Enlargement

Increasing the number of tasks performed by a worker.

Job Enrichment

Adding more tasks and authority to an employee's job.

Organization Design (OD)

OD Concepts

Organizations are not designed and then left intact. Organizations are in a continuous state of change.

Organization's design for larger organizations is extremely complex and has many variations.

OD is a means to implement strategies and plans to achieve organizational goals.

Influences on Organization Design

Core Technology

1. Technology is the conversion processes used to transform inputs into outputs.

2. A core technology is an organization's most important technology.

3. As the complexity of technology increases, so do the number of levels of management.

Unit or Small-Batch Technology

Produce custom-made products for customer .

Large Batch/Mass Production

Uses assembly-line production methods to manufacture large quantities of products.

Continuous Process

Use continuous-flow processes to convert raw materials by processes and/or machines into finished products.

Influences on Organization Design

Environment

1. Stable environments that remain constant over time.

2. Unstable environments subject to uncertainty and rapid change.

Mechanistic organizations that are bureaucratic and found most frequently in stable environments.

Organic organizations that are flexible and more informal and usually found in unstable and unpredictable environments.

Mechanistic Structure

Organic Structure

Emerging Issues in Organization Design

The Team Organization

An approach to organizational design that relies almost exclusively on project-type teams, with little or no underlying functional hierarchy.

Emerging Issues in Organization Design

The Virtual Organization

An organizational that has little or no formal structure with few permanent employees, and may conduct its

business entirely on-line .

Emerging Issues in Organization Design

The Learning Organization

An organization that works to facilitate the lifelong learning and development of its employees while transforming itself to respond to changing demands and needs.

Leading Motivating and Leadership

Leadership is a process of influencing others to achieve organisational goals.

Nature of Motivation

Motivation is the force energising, giving direction to, and / or leading Human Behaviour.

Motivation is a complex interaction of behaviours, needs, rewards/reinforcement and cognitive activities.

3 Major Types of Motivation Theories

1. Content Theories of Motivation

WHAT motivates us?

2.Process Theories of Motivation

WHY and HOW motivation occurs!

3. Reinforcement Theory

HOW outcomes influence behaviors!

What is Motivation?

The processes that account for an individual's intensity, direction, and persistence of effort toward attaining a goal

Intensity: how hard a person tries

Direction: where effort is channeled

Persistence: how long effort is maintained

Unsatisfied Needs develop a tension and creates a drive to fulfill those needs.

When those needs are satisfied, it reduces the tension and a state of relaxation is achieved.

Types of Motivators

1. Intrinsic

2. Extrinsic

Intrinsic

A person's internal desire to do something, due to such things as interest, challenge, and personal satisfaction.

Extrinsic

Motivation that comes from outside the person, such as pay, bonuses, and other tangible rewards.

1. Hierarchy of Needs Theory (Maslow)

2. Two-Factor Theory (Herzberg)

3. ERG Theory (Aldefer)

4. Acquired Needs Theory (McClelland)

Maslow's Hierarchy of Needs

Physiological

It includes hunger, thirst, shelter, sex and other bodily needs.

Maslow's Hierarchy of Needs

Safety

It includes security and protection from physical and emotional harm.

Maslow's Hierarchy of Needs

Social

It includes affection, belongingness, acceptance, and friendship.

Maslow's Hierarchy of Needs

Esteem

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

It includes internal esteem factors such as self-respect, autonomy, achievement; and external esteem factors such as status, recognition, and attention.

Maslow's Hierarchy of Needs

Self-Actualization

The drive to become what one is capable of becoming; includes growth, and achieving one's potential.

Weakness of Theory

1. Five levels of need are not always present
2. Order is not always the same
3. Cultural differences

Need's Hierarchy in China...an example:

Belongingness

Physiological

Safety

Self actualizing in service to society

Hygiene Factors

Extrinsic factors when these are adequate, people will not be dissatisfied. Company policy and administration, supervision, working conditions, and salary.

Motivating Factors

Intrinsic factors, such as achievement, recognition, the work itself, responsibility, advancement and growth.

People will be either satisfied or not satisfied.

ERG Theory

1. Existence Needs
2. Related Needs
3. Growth Needs

McClelland's Theory of Needs

Need for Achievement

The drive to excel, to achieve in relation to a set of standards, to strive to succeed.

McClelland's Theory of Needs

Need for Power

The need to make others behave in a way that they would not have behaved otherwise.

McClelland's Theory of Needs

Need for Affiliation

The desire for friendly and close interpersonal relationships.

Acquired Needs Theory (McClelland)

Theory stating that our needs are acquired or learned on the basis of our life experiences.

Needs Classification

Cognitive or Process Perspective Theories

1. Equity Theory
2. Expectancy Theory
3. Goal-setting Theory

Process Perspectives

Why people choose certain behavioral options to satisfy their needs and how they evaluate their satisfaction after they have attained their goals.

Equity Theory

Theory arguing that we prefer situations of Balance or, Equity.

Inputs

Employee contributions to the organization

Outcomes

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Rewards employees receive from the organization

Outcome / input (O / I) Ratio

A comparison between self and others Output/Input Ratio Inequity

When Your O / I ratio differ from other's

Underreward

If other's O / I ratio is greater than yours, You experience anger or frustration !

Overreward

If other's O / I ratio is less than yours, You may experience guilt !

Reaction to Perceived Inequity

1. Reduce inputs
2. Increase outcomes
3. Rationalize inputs or outcomes
4. Change the referent
5. Leave

Equity Theory

Implications for Managers:

Communication is essential to assess Equity / Inequity perceptions in employees.

Expectancy Theory

Theory arguing that we consider three main issues; (Effort-Performance, Performance-Outcome, and Valence) before we expend effort necessary to perform at a given level.

Effort-Performance Expectancy

Our assessment of our efforts that will lead to the required level of performance.

Performance-Outcome Expectancy

Our assessment of our performance that will lead to desired outcomes.

Instrumentality

Perceived relationship between Performance and Rewards / Outcomes.

Valence

Our assessment of anticipated value of various outcomes or rewards.

Expectancy Model of Motivation

Expectancy Theory

$$M = E \times I \times V$$

For motivated behavior to occur:

1. Effort-to-performance must be greater than 0
2. Performance-to-outcome must be greater than 0
3. Sum of valences must be greater than 0

Motivating with Expectancy Theory

1. Systematically gather information to find out what employees want from their jobs
2. Clearly link rewards to individual performance
3. Empower employees to make decisions which enhance expectancy perceptions

Goal-setting Theory

It works by focussing attention on action, mobilising effort, increasing persistence, & encouraging the development of strategy to achieve goals.

Goal Difficulty

Extent to which a goal is challenging and requires effort.

Goal Specificity

Clarity and precision of the goal.

Goal Acceptance

Extent to which persons accept a goal as their own.

Goal Commitment

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Extent to which an individual is personally interested in reaching a goal.

Performance Feedback

Information on goal progress

Motivating with Goal-Setting Theory

1. Assign specific, challenging goals
2. Make sure workers truly accept organizational goals
3. Provide frequent, specific performance-related feedback

Integrated Model

Reinforcement THEORY

It explains the role of rewards as they cause behavior to change or remain the same over time.

Reinforcement Process

Positive Reinforcement

It strengthens behavior by providing a desirable consequence.

Punishment

It weakens behavior by providing an undesirable consequence.

Reinforcement THEORY

Extinction

It weakens behavior by not providing a desirable consequence.

Current Issues In Motivation

Open-Book Management

1. Involve employees in workplace decisions by opening up the financial statements.
2. Workers treated as business partners.
3. Get workers to think like an owner.
4. May also provide bonuses based on profit improvements.

Current Issues In Motivation

Motivating Professionals

1. They are more loyal to their profession than their employer ?
2. They value challenging jobs and need the support for their work.

Current Issues In Motivation

Motivating Professionals

Professionals tend to derive intrinsic satisfaction from their work and receive higher pay.

Social Learning Theory

Theory arguing that learning occurs through continuous reciprocal interaction of our behaviours, various personal factors and environmental forces.

Other Motivational Strategies

1. Empowerment
2. Participation
3. Variable Work Schedules
- Compressed work schedule
4. Flexible Work Schedules

Flextime

Job Sharing

Telecommuting

Designing Effective Systems

Reward system must meet an individual's needs.

Rewards should compare favorably with other organizations.

Distribution of rewards must be perceived to be equitable.

Designing Effective Systems

Reward system must recognize different needs.

Merit system.

Incentive system.

Leadership

Leader

Someone who can influence others and who has managerial authority.

All managers should *ideally* be leaders

Not all leaders have the ability to be an effective manager.

Leadership is a process of influencing others toward the achievement of goals.

A heavily researched topic

Nature of Leadership

Leadership is an ability to influence and motivate others toward organizational goals.

What leaders actually do!

Process behaviors include:

1. Influencing organizational goals;
2. Motivating behavior toward goals;
3. Helping define organizational culture.

Leadership Property!

Set of characteristics attributed to individuals perceived to be leaders.

How Leaders influence others?

Sources of Leadership Power:

1. Legitimate power

Power stemming from a position's placement in the managerial hierarchy.

2. Reward power

Power based on the capacity to provide valued rewards to others.

3. Coercive power

Power based on the ability to punish others.

4. Expert power

Power based on the possession of expertise valued by others.

5. Information power

Power based on access and control over the distribution of information.

6. Referent power

Power resulting from being liked, admired or identified with.

Effective use of Power

Likely reaction to use of power! = Resistance

= Compliance

= Commitment

Leadership Schools

1. Trait Model

2. Behavioral Models

--Michigan Studies

--Ohio State Studies

--Leadership Grid

3. Situational (Contingency) Models

Leadership Continuum

Least Preferred Coworker Theory (Fiedler)

Path Goal Model

Vroom Model

The Leader-Member Exchange Approach

Search for Leadership Traits

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

WWW.VIRTUALINSPIRE.COM

Approach assumes that some basic traits (individual qualities) differentiated leaders from non-leaders.

Search for Leadership Traits

Approach eventually determined to be impractical- the list of suggested traits grew too long to be useful.

Search for Leadership Traits

Despite weaknesses, leaders today are often chosen on various traits.

Traits

1. Intelligence
2. Supervisory Ability
3. Initiative
4. Drive
5. Individuality

Traits

6. Self Confident
7. Risk Taker
8. Motivated
9. Hard Working
10. Self Assurance

Leadership Behaviour

Michigan Studies

Employee centred leaders superior to Job centred leaders.

Leadership Behaviour

Ohio State Studies

Suggested that the ideal was for leaders to combine job-centred-ness with an ability to build mutual trust with subordinates.

Leadership grid

Behavioral Theories

Knowing the ways how effective leaders behave would provide basis for training other leaders !

Leadership Schools

2. Behavioral Models

--Iowa Studies

--Michigan Studies

--Ohio State Studies

--Leadership Grid

Leadership Behaviour

Iowa Studies

(By Kurt Lewin)

Explored three leadership styles related to performance!

Leadership Styles

1. Autocratic

Leader dictated the work methods.

2. Democratic

Involved staff in decision making.

3. Laissez-Faire

Gave the group complete freedom.

Leadership Behaviour

Michigan Studies

Employee centred leaders superior to Job or Production centred leaders?

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Ohio State Studies

Suggested that the ideal was for leaders to combine job-centred-ness (Initiating Structure) with an ability to build mutual trust with subordinates (Consideration).

Leadership grid

Contingency Theories Of Leadership

Basic Assumptions

1. Leader's effectiveness depends on the situation.
2. Must isolate situational conditions or contingencies.

Leadership Schools

3. Situational (Contingency) Models

1. Fiedler's Model
 2. Path Goal Model
 3. Hersey and Blanchard Leadership approach
4. Leaders Member Exchange Model

Situational Theory

Theories of leadership taking into consideration important situational factors and related leadership styles.

Fiedler's Contingency Theory

Putting Leaders in the Right Situation:

Leadership Style:

Least Preferred Coworker

Leadership style is the way a leader generally behaves toward followers.

Style is measured by the LPC Scale!

Relationship-oriented Style

Task-oriented Style

Situational Favorableness

How a particular situation affects a leader's ability to lead

Three factors

1. Leader-member relations
2. Task structure
3. Position power

Situational Favorableness

Matching Leadership Styles to Situations

Path-Goal Theory

Leadership Styles

1. Directive
Clarifying expectations and guidelines
2. Supportive
Being friendly and approachable
3. Participative
Allowing input on decisions
4. Achievement-Oriented
Setting challenging goals

Four leadership styles defined by the two dimensions i.e.

1. Task Behavior and
2. Relationship Behavior!

Tests of the theory have yielded disappointing results

LMX Leadership Model

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

WWW.VIRTUALINSPIRE.COM

Leader Member Exchange approach stresses the importance of variable relationships between supervisors and each of their subordinates.

Leaders form unique independent relationships with each subordinate in which the subordinate becomes a member of the leader's out-group or in-group.

Cutting-Edge Approaches To Leadership or Strategic Leadership

Transactional Leadership

Transactional Leaders guide or motivate their followers in the direction of established goals by clarifying role and task requirements!

Transformational Leaders inspire followers to transcend their own self-interests for the good of the organization!

1. Capable of having profound effect on followers.
2. Pay attention to concerns of followers.
3. Change follower's awareness of issues.
4. Excite and inspire followers to put forth extra effort.
5. Built on top of Transactional leadership
6. good evidence of superiority of this type of leadership!

Goes beyond Charismatic leadership.

Different than *Transactional leadership*!

Components of Transformational Leadership

Charismatic leadership or idealized influence.

Inspirational motivation.

Intellectual stimulation.

Individualized consideration.

Charismatic Leadership

Charismatic leaders are enthusiastic, and self-confident leader whose personality and actions influence people.

Charismatic leaders creates an exceptionally strong relationship between leader and followers.

Kinds of Charismatic Leaders

Ethical Charismatics

1. Provide developmental opportunities.
2. Open to positive and negative feedback.
3. Recognize others' contributions.
4. Share information.
5. Concerned with the interests of the group.

Unethical Charismatics

1. Control and manipulate followers.
2. Only want positive feedback.
3. **Motivated by self-interest.**

Visionary Leadership

Visionary leader has the ability to:

1. Explain the vision to others.
2. Express the vision verbally and behaviorally.
3. Apply the vision to different leadership contexts.

Team Leadership

It requires skills such as:

1. Patience to share information.

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

2. Ability to trust others and give up authority.
3. Understanding when to intervene.

Gender and Leadership

When rated by peers, employees, and bosses, women executives score better than male counterparts

Explanations of difference in effectiveness include:

1. Flexibility, teamwork, trust, and information sharing are replacing rigid structures, competitive individualism, control, and secrecy
2. Women managers listen, motivate, and provide support better than men

There is still no “one best” leadership style

Can't assume that women's style is always better

Leadership Styles in Different Countries

Effectiveness of leadership style influenced by national culture

Most leadership theories developed in the U.S.

1. Emphasize follower responsibilities rather than rights.
2. Stress rationality rather than spirituality.

What Would You Do?

You are the CEO of Unique Food Co...

1. Your success is based on your reputation and your staff.
2. But, business is down and employee benefits expenses are increasing.
3. You have three options: eliminate health benefits, find a cheaper plan, or pass the cost to the employee!

How can you best make the tough decision?

How involved should your employees be in making it?

Understanding Group

Behavior

Why People Join Groups ?

1. Interpersonal Attraction

People are attracted to one another.

2. Group Activities

Activities of the group appeal to them.

3. Group Goals

Group's goals motivate them.

4. Need Satisfaction

Satisfies an individual's need for affiliation.

Foundations of Work Groups

Two or more interdependent individuals interacting and influencing each other in collective pursuit of a common goal.

What is a Group?

Two or more interacting and interdependent individuals who come together to achieve particular goals!

Types of Groups?

Formal Groups

Informal Groups

Formal Groups

Group officially created by an organisation for a specific purpose.

1. Command/Functional
2. Task Groups:
Permanent.

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Temporary.

Task Group

A group created by the organization to accomplish a relatively narrow range of purposes within a stated time horizon.

Informal Groups:

Group established by employees (not the organisation) to serve members' interests or social needs.

Interest groups

Friendship groups

Groups and Teams in Organizations

Basic Group Concepts

1. Group Size

Effect on behavior of group depends upon the type of outcome and number of persons in group.

1. Large groups - good for getting diverse input
2. Small groups - good at making use of information
3. Dispersion of responsibility in large groups leads to *free rider tendency* !

2. Group Role.

Set of expected behavior patterns attributed to someone who occupies a given position in a social unit or group.

1. Group members have particular roles oriented towards task accomplishment or maintaining group member satisfaction.
2. Individuals play multiple roles.

3. Group Norms

Acceptable standards or expectations that are shared by the group's members.

1. its own unique set of norms.
2. Common norms related to levels of effort and performance.
3. Exert powerful influence on performance.

4. Group Cohesiveness

Degree to which members are attracted to a group and share the group's goals.

The group effectiveness depends upon the alignment of group and organizational goals.

Effectiveness and Efficiency of Group Decisions

1. Size of group affects effectiveness.
2. The groups of 5-7 are the most effective.
3. Odd number of members helps avoid deadlocks.

Steps must be taken to avoid Group Think.

Conformity marked by withholding different or unpopular views in order to give the appearance of agreement.

Stages of Group Development

1. Forming

People join the group either because of a work assignment or for some other benefit.

Define the group's purpose, structure, and leadership.

2. Storming

Acceptance of the group's existence.

Conflict over who will control the group !

3. Norming

Relationships and a sense of group identity develops.

Group assimilates a common set of expectations and defines correct member behavior.

4. Performing

Group structure is functional and accepted!

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Group energy has moved to task performance!

5. Adjourning

Group prepares to disband!

Attention devoted to wrapping up activities.

Group Development

Turning Groups into Effective Teams

Teams versus Groups

Work Group

A group that interacts primarily to share information and to make decisions to help each other perform within his or her area of responsibility.

Work Team

A group whose individual efforts result in a performance that is greater than the sum of those individual inputs.

What Is a Team?

Work Team is a formal group made up of interdependent individuals who are responsible for the attainment of a goal

work teams are popular in organizations

Why Have Teams

Become So Popular?

1. Performance on complex tasks
2. Utilization of employee talents
3. Flexibility and responsiveness
4. Motivational properties

Developing And Managing Effective Teams

Characteristics of Effective Teams

1. Clear Goals - members understand and support the goals to be achieved.
2. Relevant Skills - members have the necessary technical and interpersonal skills.
3. Mutual Trust - members are confident in each others' ability, character, and integrity.
4. Unified Commitment - loyalty and dedication to the team.
5. Good Communication - messages are readily understood.

Types of Teams

1. Problem Solving Team

Comprises knowledge workers who gather to solve a specific problem, then disband.

2. Management Team

Consists mainly of managers from various functions, who coordinate work among other teams.

3. Work Team

Responsible for the daily work of the organization and, when empowered, are self-managed teams.

4. Quality Circle

Consists of workers and supervisors, who meet to discuss workplace problems.

Special Kinds of Teams

Cross-Functional Team

Employees from different functional areas.

Attack problems from multiple perspectives.

Generate more ideas and alternative solutions.

Project Teams

Created to complete specific, one-time projects within a limited time.

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

WWW.VIRTUALINSPIRE.COM

Often used to develop new products, improve existing products, roll out new information systems, or build new factories/offices.

Understanding Managerial Communication

What is Communication?

Everything that a manager does ... involves communication!

Ineffective communication is the basis for many managerial problems.

Communication

The process of transmitting information from one person to another.

Effective Communication

The process of sending a message so that the message received is as close in meaning as possible to the message intended.

Interpersonal Communication

It occurs between people.

Organizational Communication

All the patterns, networks, and systems of communication in an organization.

Communication in Management

Communication Process

Information Richness of Channels

Managerial Communication

Verbal

Written or oral use of words to communicate.

Non-Verbal

Communication by means of elements and behaviours that are not coded into words.

Communication Channels

Patterns of communication flow through which managers and other organisation members can send and receive information.

1. Vertical communication
2. Horizontal communication
3. Informal communication

Vertical Communication

1. Downward Communication

Managers overuse downward communication.

Filtering

(deliberate or accidental).

2. Upward Communication

Can be distorted by 'only' favourable messages going up.

Managers don't encourage upward flow.

Horizontal Communication

Lateral or diagonal message exchange within work-unit boundaries, involving peers reporting to the same supervisor, or across work-unit boundaries, involving individuals who report to different supervisors.

Informal Communication

Communication which takes place without regard to hierarchical or task requirements.

Problems Can carry gossip/distorted information.

Benefits Valuable tool for continuation/propagation of culture.

Communication Networks

Patterns through which members of a group or team communicate.

Grapevine

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

An informal network that is active in almost every organization.

1. Important source of information.
2. Identifies issues that employees consider important and anxiety producing.
3. Can use the grapevine to disseminate important information.
4. Grapevine cannot be abolished.

Rumors can never be eliminated entirely.

Barriers to Communication

Individual Barriers

Conflicting or inconsistent cues.

Credibility about the subject.

Reluctance to communicate.

Poor listening skills.

Predispositions about the subject.

Organizational Barriers

Status or power differences.

Different perceptions.

Noise.

Overload.

Improving Communication Effectiveness

Individual Skills

1. Encourage two-way communication.
2. Be aware of language and meaning.
3. Be sensitive to sender's and receiver's perspective.
4. Develop good listening skills.

Organizational Skills

1. Follow up.
2. Regulate information flow
3. Understand the richness of media.

How Technology Affects Managerial Communication!

Communication Channels

Information Technology has changed organizational communication.

1. Disseminates more complete information
2. Provides more opportunities for collaboration
3. Employees are fully accessible

Effects of IT

1. Networked Computer Systems

Linking computers through compatible hardware and software.

1. *e-mail* - instantaneous transmission of written messages

7. *Intranet* - Internet technology that links organizational employees

8. *Extranet* - Internet technology that links an organization with customers and suppliers

9. *Internet-based voice communication* - allows users to talk with each other

2. Wireless Capabilities

Depends on signals sent through space without any physical connection.

Based on microwave signals, satellites, radio waves, or infrared light rays.

Control as a Management Function

Process of regulating organisational activities so that actual performance conforms to expected organisational standards and goals.

Planning-Controlling Link

What Is Control?

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Control is the process of monitoring activities to ensure that they are being accomplished as planned and of correcting significant deviations.

Control systems are judged in terms of how well they facilitate goal achievement

Control as a Management Function

Role of Controls:

1. Coping with uncertainty
2. Detecting irregularities
3. Identifying opportunities
4. Handling complex situations

Control as a Management Function

Levels of Plan Levels of Control

The Control Process

The Control Process

Steps in the control process:

Five Eras of Management Control

Primary Types of Organizational Control

Managerial Approaches

Bureaucratic control

Organic/Clan control

Market control

Quality & Innovation

Managerial Approaches

Bureaucratic Control

Managerial approach relying on regulation through rules, policies, supervision, budgets, schedules, reward systems and other administrative mechanisms aimed at ensuring employees exhibit appropriate behaviours and meet performance standards.

Market Control

Managerial approach relying on market mechanisms to regulate prices for certain clearly specified goods and services needed by an organisation.

It emphasizes the use of external market mechanisms to establish standards of performance.

1. Useful where products and services are distinct
2. Useful where marketplace competition is considerable
3. Divisions turned into profit centers and judged by the percentage of total corporate profits each contributes

Organic/Clan Control

Managerial approach relying on values, beliefs, traditions, corporate culture, shared norms and informal relationships to regulate employee behaviours and facilitate reaching of organisational goals.

Quality & Innovation:

Lever for strategic control/innovation:

1. Belief Systems
Mission, core values
2. Performance Management Systems
Critical goals, evaluation & feedback
3. Interactive Monitoring System
Networking, continuous search & learning based system

Traditional Financial Controls

The budgets provide quantitative standards against which to measure and compare resources consumption.

Other

For Registration on www.virtualinspire.com u can use Firefox or chrome or Any latest Internet Explorer.....

Financial Controls

Other Financial Control Measures increasing in popularity;

1. Economic Value Added (EVA)

Economic value created with the firm's assets less any capital investments made by the firm in its assets.

2. Market Value Added (MVA)

Stock market's estimate of the value of the firm's past and expected capital investment projects.

Automation Based Controls

Management Information Systems

MIS are used to provide management with needed information on a regular basis.

1. Organizes data in a meaningful way
2. Can access the information in a reasonable amount of time

Quality-Related Characteristics

ISO 9000

1. A series of international standards:
ISO 9000 to ISO 9004
2. Certifies quality processes
3. Customers are increasingly demanding ISO 9000 certification

HRM Process

Job Analysis and HRM

Value Chain Management

Value

Performance characteristics, features, and attributes, and any other aspects of goods and services for which customers are willing to pay resources.

value Chain is the entire series of work activities that add value at each step of the transformation process.

Value Chain Management is the process of managing an entire sequence of activities along the entire value chain.

Focuses on both incoming materials and outgoing products and services.

Goal of Value Chain Management

Better the collaboration among chain participants, better the customer solutions!

MGT401 Short Notes

By



accounting cycle : The procedures for analyzing, recording, classifying, summarizing, and reporting the transactions of a business.

account payable : An amount owed to a supplier for good or services purchased on credit; payment is due within a short time period, usually 30 days or less.

acid-test ratio (or quick ratio) : A measure of a firm's ability to meet current liabilities; more restrictive than the current ratio, it is computed by dividing net quick assets (all current assets, except inventories and prepaid expenses) by current liabilities.

bad debt : An uncollectible account receivable.

Deferred Income Taxes :

dividend payment date : The date on which a corporation pays dividends to its shareholders.

double-entry accounting : A system of recording transactions in a way that maintains the equality of the accounting equation.

drawings account : The account used to reflect periodic withdrawals of earnings by the owner (proprietor) or owners (partners) of a proprietorship or partnership.

effective-interest amortization : A method of systematically writing off a bond premium or discount that takes into consideration the time value of money and results in an equal rate of amortization for each period.

Financial Accounting Standards Board (FASB) : The private organization responsible for establishing the standards for financial accounting and reporting in the United States.

FOB (free-on-board) destination : A business term meaning that the seller of merchandise bears the shipping costs and maintains ownership until the merchandise is delivered to the buyer.

going concern : The idea that an accounting entity will have a continuing existence for the foreseeable future.

gross The excess of net sales revenue over the cost of goods sold.

margin :

gross margin method : A procedure for estimating the amount of ending inventory; the historical relationship of cost of goods sold to sales revenue is used in computing ending inventory.

gross sales : Total recorded sales before deducting any sales discounts or sales returns and allowances.

gross tax liability : The amount of tax computed by multiplying the tax base (taxable income) by the appropriate tax rates.

held-to-maturity securities : Debt securities purchased by an investor with the intent of holding the securities until they mature.

historical cost : The dollar amount originally exchanged in an arm's-length transaction; an amount assumed to reflect the fair market value of an item at the transaction date.

historical exchange rate : The exchange rate that existed on the date of a transaction.

horizontal analysis of financial statements : A technique for analyzing the percentage change in individual income statement or balance sheet items from one year to the next.

imprest petty cash fund : A petty cash fund in which all expenditures are documented by vouchers or vendors' receipts or invoices, the total of the vouchers and cash in the fund should equal the established balance.

income statement (statement of earnings) : The financial statement that summarizes the revenues generated and the expenses incurred by an entity during a period of time.

accrued expenses : Expenses that arise through adjusting entries when accounting for unrecorded expenses.

adjusted gross income : An individual taxpayer's total income minus deductions (adjustments) for individual retirement plan contributions and alimony paid.

adjustments to gross income : Amounts deducted from the gross income of an individual taxpayer in arriving at adjusted gross income; includes contributions to individual retirement plans and alimony paid.



adverse opinion :	Audit report indicating the auditor believes the overall financial statements are so materially misstated or misleading that the statements do not fairly represent the financial position or results of the operations and cash flows.
aging accounts receivable :	The process of categorizing each account receivable by the number of days it has been outstanding.
Allowance for Uncollectible Accounts :	A contra account, deducted from Accounts Receivable, that shows the estimated losses from uncollectible accounts.
annuity :	A series of equal amounts to be received or paid at the end of equal time intervals.
assets :	Economic resources that are owned or controlled by an entity.
balance sheet (statement of financial position) :	The financial statement that shows the assets, liabilities, and owners' equity of an entity at a particular date. http://vustudents.ning.com
bank reconciliation :	The process of systematically comparing the cash balance as reported by the bank with the cash balance on the company's books and explaining any differences.
board of directors :	Individuals elected by the stockholders to govern a corporation.
bond :	A contract between a borrower and a lender in which the borrower promises to pay a specified rate of interest for each period the bond is outstanding and repay the principal at the maturity date.
bond discount :	The difference between the face value and the sales price when bonds are sold below their face value.
business expenses :	Expenses that have been paid or incurred in the course of business and that are ordinary, necessary, and reasonable in amount
calendar year :	An entity's reporting year, covering 12 months and ending on December 31.
capital gain :	The excess of the selling price over the cost basis when assets, such as securities and other personal and investment assets, are sold.
capital stock :	The portion of a corporation's owners' equity contributed by investors (owners) in exchange for shares of stock.
cash :	Coins, currency, money orders, checks, and funds on deposit with financial institutions; the most liquid of assets.
cash-basis	A system of accounting in which transactions are recorded and revenues

accounting and expenses are recognized only when cash is received or paid.

:

cash equivalents Short-term, highly liquid investments that can be converted easily into cash.

:

cash outflows : The initial cost and other expected outlays associated with an investment.

cash receipts journal : A special journal in which all cash received, from sales, interest, rent, or other sources, is recorded.

classified balance sheet : A balance sheet in which assets and liabilities are subdivided into current and noncurrent categories.

code of professional ethics : Rules set by the AICPA's Committee on Professional Ethics, which govern the conduct of CPAs.

comparative financial statements : Financial statements in which data for two or more years are shown together.

consignment : An arrangement whereby merchandise owned by one party (the consignor) is sold by another party (the consignee), usually on a commission basis.

consignor : The owner of merchandise to be sold by someone else, known as the consignee.

contributed capital : The portion of owners' equity contributed by investors (the owners) in exchange for shares of stock.

control account : A summary account in the General Ledger that is supported by detailed individual accounts in a subsidiary ledger.

convertible bonds : Bonds that can be traded for, or converted to, other securities after a specified period of time.

cost method of accounting for investments in stock : Method used to account for an investment in the stock of another company when less than 20 percent of the outstanding voting stock is owned.

cost of goods sold : The expense incurred to purchase or manufacture the merchandise sold during a period.

credit card draft : The part of the multiple-page credit form that is sent by the retailer to the credit card company for reimbursement of the stated amount.

cumulative-dividend preference : The rights of preferred stockholders to receive current dividends plus all dividends in arrears before common stockholders receive any dividends. current assets: Cash and other assets that may reasonably be expected to beconverted to cash within a year or during the normal operating cycle.

current-dividend preference The right of preferred shareholders to receive current dividends before common shareholders receive dividends.

date of record : The date selected by a corporation's board of directors on which the shareholders of record are identified as those who will receive dividends.

debt financing : Acquiring funds by borrowing money from creditors in the form of long-term notes, mortgages, leases, or bonds.

declaration date : The date on which a corporation's board of directors formally decides to pay a dividend to shareholders.

depreciation : The process of cost allocation that assigns the original cost of plant and equipment to the periods benefited.

discounting a note receivable : The process of the payee's selling notes to financial institution for less than the maturity value.

diversified companies : Companies operating in more than one line of business.

dividends in arrears : Missed dividends for past years that preferred stockholders have a right to receive under the cumulative-dividend preference if and when dividends are declared.

EDP (electronic data processing) : A term referring to the use of computers in recording, classifying, manipulating, and summarizing data.

entity : An organizational unit (a person, partnership, or corporation) for which accounting records are kept and about which accounting reports are prepared.

equity financing : Acquiring funds in the form of investments by owners (proprietor, partner, or stockholder).

exchange gain or loss : The gain or loss incurred when the exchange rates are different on the purchase and payment dates or on the sale and receipt of payment dates.

financing activities : Transactions and events whereby resources are obtained from, or repaid to, owners (equity financing) and creditors (debt financing).

floor : The minimum market amount at which inventory can be carried on the

books; equal to net realizable value minus a normal profit.

Foreign Corrupt Practices Act (FCPA) : Legislation requiring any company that has publicly-traded stock to maintain records that accurately and fairly represent the company's transactions; additionally, requires any publicly-traded company to have an adequate system of internal accounting controls.

GAAS (generally accepted auditing standards) : Auditing standards developed by the AICPA.

generally accepted auditing standards (GAAS) : Auditing standards developed by the AICPA.

general-purpose financial statements : The financial reports intended for use by a variety of external groups; they include the balance sheet, the income statement, and the statement of cash flows.

goodwill : An intangible asset that exists when a business is valued at more than the fair market value of its net assets, usually due to strategic location, reputation, good customer relations, or similar factors; equal to the excess of the purchase price over the fair market value of the net assets purchased.

gross income : The taxable portion of a taxpayer's gross receipts.

account : An accounting record in which the results of transactions are accumulated; shows increases, decreases, and a balance.

accounting : A service activity designed to accumulate, measure, and communicate financial information about economic entities for decision-making purposes.

accounting model : The basic accounting assumptions, concepts, principles, and procedures that determine the manner of recording, measuring, and reporting an entity's transactions.

accounting system : The set of manual and computerized procedures and controls that provide for identifying relevant transactions or events; preparing accurate source documents, entering data into the accounting records accurately, processing transactions accurately, updating master files properly, and generating accurate documents and reports.

account receivable turnover : A measure used to determine a company's average collection period for receivables; computed by dividing net sales (or net credit sales) by average accounts receivable.

accrual-basis accounting : A system of accounting in which revenues and expenses are recorded as they are earned and incurred, not necessarily when cash is received or paid.

adjusting entries : Entries required at the end of each accounting period to recognize, on an accrual basis, revenues and expenses for the period and to report proper amounts for asset, liability, and owners' equity accounts.

amortization : The process of cost allocation that assigns the original cost of an intangible asset to the periods benefited.

annual report : A document that summarizes the results of operations and financial status of a company for the past year and outlines plans for the future.

arm's-length transactions : Business dealings between independent and rational parties who are looking out for their own interests.

articulation : The interrelationships among the financial statements.

asset turnover ratio : An overall measure of how effectively assets are used during a period; computed by dividing net sales by average total assets.

audit report : A report issued by an independent CPA that expresses an opinion about whether the financial statements present fairly a company's financial position, operating results, and cash flows in accordance with generally accepted accounting principles.

authorized stock : The amount and type of stock that may be issued by a company, as specified in its articles of incorporation.

available-for-sale securities : Debt and equity securities not classified as trading, held-to-maturity, or equity method securities <http://vustudents.ning.com>

bond maturity date : The date at which a bond principal or face amount becomes payable.

bond premium : The difference between the face value and the sales price when bonds are sold above their face value.

book value : The net amount shown in the accounts for an asset, liability, or owners' equity item.

book value A measure of net worth; computed by dividing stockholders' equity for each

per share : class of stock by the number of shares outstanding for that class.

business : An organization operated with the objective of making a profit from the sale of goods or services.

callable bonds : Bonds for which the issuer reserves the right to pay the obligation before its maturity date.

capital account : An account in which a proprietor's or partner's interest in a firm is recorded; it is increased by owner investments and net income and decreased by withdrawals and net losses.

cash disbursements journal : A special journal in which all cash paid out for supplies, merchandise, salaries, and other items is recorded.

cash over and short : An account used to record overages and shortages in petty cash.

ceiling : The maximum market amount at which inventory can be carried on the books; equal to net realizable value.

chart of accounts : A systematic listing of all accounts used by a company.

charter (articles of incorporation) : A document issued by a state that gives legal status to a corporation and details its specific rights, including the authority to issue a certain maximum number of shares of stock.

closed transaction : A transaction that is completed within the accounting period; both the purchase and payment or sale and receipt of payment occur within the same accounting period.

compound journal entry : A journal entry that involves more than one debit or more than one credit or both.

conduit principle : The idea that all income earned by an entity must be passed through to the owners and reported on their individual tax returns; applicable to proprietorships, partnerships, and S corporations.

consignee : A vendor who sells merchandise owned by another party, known as the consignor, usually on a commission basis.

consolidated financial statements : Statements that report the combined operating results, financial position, and cash flows of two or more legally separate but affiliated companies as if they were one economic entity.

contra account : An account that is offset or deducted from another account.

corporation : A legal entity chartered by a state; ownership is represented by transferable shares of stock.



coupon bonds :	Unregistered bonds for which owners receive periodic interest payments by clipping a coupon from the bond and sending it to the issuer as evidence of ownership.
current (or working capital) ratio :	A measure of the liquidity of a business; equal to current assets divided by current liabilities.
debentures (unsecured bonds) :	Bonds for which no collateral has been pledged.
debt securities :	Financial instruments issued by a company that carry with them a promise of interest payments and the repayment of principal.
deduction :	Business expenses or losses that are subtracted from gross income in computing taxable income.
direct method :	A method of reporting net cash flow from operations that shows the major classes of cash receipts and payments for a period of time.
direct write-off method :	The recording of actual losses from uncollectible accounts as expenses during the period in which accounts receivable are determined to be uncollectible.
disclaimer of opinion :	A disclaimer indicating the auditor was unable to satisfy himself or herself that the overall financial statements were fairly present in accordance with GAAP.
discount :	The amount charged by a financial institution when a note receivable is discounted; calculated as maturity value times discount rate times discount period.
discount period :	The time between the date a note is sold to a financial institution and its maturity date.
discount rate :	The interest rate charged by a financial institution for buying a note receivable.
dividends :	Distributions to owners (stockholders) of a corporation.
drawings :	Distribution to the owner(s) of a proprietorship or partnership; similar to dividends for a corporation.
effective tax rate :	A tax rate that reflects the percentage of the actual tax liability to the accounting income generated by the company, that is, net tax liability/financial (book) income before taxes.
effective (yield or market) rate of interest :	The actual interest rate earned or paid on a bond investment. http://vustudents.ning.com

electronic data processing (EDP) : A term referring to the use of computers in recording, classifying, manipulating, and summarizing data.

EPS (earnings per share) : The amount of net income (earnings) related to each share of stock; computed by dividing net income by the number of shares of common stock outstanding during the period.

equity method or accounting for investments in sto : Method used to account for an investments in the stock of another company when significant influence can be imposed (presumed to exist when 20 to 50 percent of the outstanding voting stock is owned).
<http://vustudents.ning.com>

equity securities : Shares of ownership in a corporation that can change significantly in value and that provide for a return to investors in the form of dividends.

account receivable : A current asset representing money due for services performed or merchandise sold on credit.

accrual basis : Gross income is recognized when earned.

accrued liabilities : Liabilities that arise through adjusting entries when accounting for unrecorded liabilities.

accumulated depreciation : The total depreciation recorded on an asset since its acquisition; a contra account deducted from the original cost of an asset on the balance sheet.

allowance method : The recording of estimated losses due to uncollectible accounts as expenses during the period in which the sales occurred.

audit : The result of an independent accountant's review of the statements and footnotes to ensure compliance with generally accepted accounting principles and to render an opinion on the fairness of the financial statements.

audit committee : Members of a client's board of directors who are responsible for dealing with the external and internal auditors.

basket purchase : The purchase of two or more assets acquired together at a single price.

bond carrying value : The face value of bonds minus the unamortized discount or plus the unamortized premium.

bond indenture : A contract between a bond issuer and a bond purchaser that specifies the terms of a bond.

business documents : Records of transactions used as the basis for recording accounting entries; includes invoices, check stubs, receipts, and similar business papers.

capital : The total amount of money or other resources owned or used to acquire future income or benefits.

capital expenditure : An expenditure that is recorded as an asset because it is expected to benefit more than the current period. <http://vustudents.ning.com>

capital lease : A leasing transaction that is recorded as a purchase by the lessee.

cash basis : Gross income is recognized when cash is received.

cash dividend : A cash distribution of earnings to shareholders.

cash inflows : Any current or expected revenues or savings directly associated with an investment.

certified public accountant (CPA) : A special designation given to an accountant who has passed a national uniform examination and has met other certifying requirements; CPA certificates are issued and monitored by state boards of accountancy or similar agencies.

closing entries : Entries that reduce all nominal, or temporary, accounts to a zero balance at the end of each accounting period, transferring their preclosing balances to a permanent balance sheet account.

common stock : The most frequently issued class of stock; usually it provides a voting right but is secondary to preferred stock in dividend and liquidation rights.

compounding period : The period of time for which interest is computed.

contingent liability : A potential obligation, dependent upon the occurrence of future events.

control activities : Policies and procedures used by management to meet its objectives; generally divided into adequate segregation of duties, proper authorization of transactions and activities, adequate documents and records, physical control over assets and records, and independent checks on performance.

control environment : The actions, policies, and procedures that reflect the overall attitudes of top management, the directors, and the owners about control and its importance to the entity.

convertible preferred stock : Preferred stock that can be converted to common stock at a specified conversion rate.

cost principle : The idea that transactions are recorded at their historical costs or exchange prices at the transaction date.

credit : An entry on the right side of the account.

debit : An entry on the left side of an account.

debt-equity ratio : A measurement of the relative utilization of debt and equity; computed by dividing average total assets by average stockholders' equity.

declining-balance depreciation method : An accelerated depreciation method in which an asset's book value is multiplied by a constant depreciation rate (such as double the straight-line percentage, in the case of double-declining-balance.)

depletion : The process of cost allocation that assigns the original cost of a natural resource to the periods benefited.

dividends account : The account used to reflect periodic distributions of earnings to the owners (stockholders) of a corporation.

earnings per share (EPS) : The amount of net income (earnings) related to each share of stock; computed by dividing net income by the number of shares of common stock outstanding during the period.

exchange rate : The value of one currency in terms of another.

exclusions : Gross receipts that are not subject to tax and are not included in gross income, such as interest on state and local government bonds.

expenses : Costs incurred in the normal course of business to generate revenues.

external auditors : Independent CPAs who are retained by organizations to perform audits of financial statements.

external audits : Audits conducted by CPAs who are independent of the client company.

extraordinary items : Nonoperating gains and losses that are unusual in nature, infrequent in occurrence, and material in amount.

factor : To sell accounts receivable at a discount before they are due.

fair market value : The current value of an asset, e.g., the amount at which an asset could be sold or purchased in an arm's-length transaction.

FASB (Financial Accounting Standards Board) : The private organization responsible for establishing the standards for financial accounting and reporting in the United States.

FCPA (Foreign Corrupt Practices Act) : Legislation requiring any company that has publicly-traded stock to maintain records that accurately and fairly represent the company's transactions; additionally, requires any publicly-traded company to have an adequate system of internal accounting controls.

FICA (social security) taxes : Federal Insurance Contributions Act taxes imposed on employee and employer; used mainly to provide retirement benefits.

FIFO (first-in, first-out) : An inventory cost flow whereby the first goods purchased are assumed to be the first goods sold so that the ending inventory consists of the most recently purchased goods.

financial accounting The area of accounting concerned with reporting financial information to interested external parties.

:

financial statements Reports such as the balance sheet, income statement, and statement of cash flows, which summarize the financial status and results of operations of a business entity.

:

fiscal year An entity's reporting year, covering a 12 month accounting period.

:

FOB (free-on-board) shipping point : A business term meaning that the buyer of merchandise bears the shipping costs and acquires ownership at the point of shipment.

franchise : An entity that has been licensed to sell the product of a manufacturer or to offer a particular service in a given area.

freight-in : An account used with the periodic inventory method for recording the costs of transporting into a firm all purchased merchandise intended for sale; added to purchases in calculating cost of goods sold.

functional currency : The currency in which a subsidiary conducts most of its business; generally, but not always, the currency of the country where it does most of its spending and earning.

GAAP (generally accepted accounting principles) : Authoritative guidelines that define accounting practice at a particular time.

generally accepted accounting principles (GAAP) : Authoritative guidelines that define accounting practice at a particular time.

income The amount expected to be paid to the federal and state governments based

taxes payable : on the income before taxes reported on the income statement.

independent checks : Procedures for continual internal verification of other controls. indirect method: A method of reporting net cash flow from operations that involves converting accrual-basis net income to a cash basis.

inflation : An increase in the general price level of goods and services; alternatively, a decrease in the purchasing power of the dollar.

intangible assets : Long-lived assets without physical substance that are used in business, such as licenses, patents, franchises, and goodwill.

intercompany transaction : A transaction between a parent company and a subsidiary company.

interest : The payment (cost) for the use of money.

interest rate : The cost of using money, expressed as an annual percentage.

internal auditors : An independent group of experts in controls, accounting, and operations, who monitor operating results and financial records, evaluate internal controls, assist with increasing the efficiency and effectiveness of operations, and detect fraud.

internal control structure : Safeguards in the form of policies and procedures established to provide management with reasonable assurance that the objectives of an entity will be achieved.

inventory : Goods held for resale.

inventory cutoff : The determination of which items should be included in the year-end inventory balance.

inventory turnover ratio : A measure of the efficiency with which inventory is managed; computed by dividing cost of goods sold by average inventory for a period.

investing activities : Transactions and events that involve the purchase and sale of securities (excluding cash equivalents), property, plant, equipment, and other assets

not generally held for resale, and the making and collecting of loans.

issued stock : Authorized stock originally issued to stockholders; it may or may not still be outstanding.

itemized deduction : Amounts paid by an individual taxpayer for personal and quasi-business expenses that can be deducted in computing taxable income, such as medical expenses, property and income taxes, mortgage and investment interest, charitable contributions, moving expenses, casualty and theft losses, and certain miscellaneous expenses

JIT (just-in-time) inventory : An inventory system that allows for the elimination of inventory stockpiles and inefficiency and waste; raw materials arrive "just in time" for production and finished goods "just in time" for sale.

journal : An accounting record in which transactions are first entered; provides a chronological record of all business activities.

journal entry : A recording of a transaction where debits equal credits; usually includes a date and an explanation of the transaction.

junk bonds : Bonds issued by companies in weak financial condition with large amounts of debt already outstanding; these bonds yield high rates of return because of the high risk.

just-in-time (JIT) inventory : An inventory system that allows for the elimination of inventory stockpiles and inefficiency and waste; raw materials arrive "just in time" for production and finished goods "just in time" for sale

lapping : A procedure used to conceal the theft of cash by crediting the payment from one customer to another customer's account on a delayed basis.

LCM (lower cost or market) : A basis for valuing certain assets at the lower of original cost or current market value. <http://vustudents.ning.com>

lease : A contract that specifies the terms under which the owner of an asset (the lessor) agrees to transfer the right to use the asset to another party (the lessee).

ledger : A book of accounts in which data from transactions recorded in journals are posted and thereby classified and summarized.

legal capital : The amount of contributed capital not available for dividends; usually equal to the par or stated value of outstanding capital stock.

lessee : The party that is granted the right to use property under the terms of a lease.

lessor : The owner of property that is rented (leased) to another party.

liabilities : Obligations measurable in monetary terms that represent amounts owed to creditors, governments, employees, and other parties.

license : The right to perform certain activities, generally granted by a governmental agency.

LIFO (last-in, first-out) : An inventory cost flow whereby the last goods purchased are assumed to be the first goods sold so that the ending inventory consists of the first goods purchased.

limited liability : The legal protection given stockholders whereby they are responsible for the debts and obligations of a corporation only to the extent of their capital contributions.

liquidation : The process of dissolving a business by selling the assets, paying the debts, and distributing the remaining equity to the owners.

liquidity : A company's ability to meet current obligations with cash or other assets that can be quickly converted to cash.

long-term investment : An expenditure to acquire a non-operating asset that is expected to increase in value or generate income for longer than 1 year.

long-term liabilities : Debts or other obligations that will not be paid within one year.

losses : Costs that provide no benefit to an organization.

loss per share : The amount of net loss related to each share of stock; computed by dividing net loss by a number of shares of common stock outstanding during the period.

lower cost or market (LCM) : A basis for valuing certain assets at the lower of original cost or current market value.

MACRS (modified accelerated cost recovery system) : IRS regulations that allocate the cost of an asset according to predefined recovery periods and percentages.

maker : A person (entity) who signs a note to borrow money and who assumes responsibility to pay the note at maturity.

management accounting : The area of accounting concerned with providing internal financial reports to assist management in making decisions.

Market Adjustment- Trading Securities account : An account used to track the difference between the historical cost and the market value of a company's portfolio of trading securities.

matching principle : The concept that all costs and expenses incurred in generating revenues must be recognized in the same reporting period as the related revenues.

maturity date : The date on which a note or other obligation becomes due.

maturity value : The amount of an obligation to be collected or paid at maturity; equal to principal plus any interest.

merger : The acquisition of one company by another company whereby the companies combine as one legal entity, with the acquired company going out of existence.

minority interest : The interest owned in a subsidiary by stockholders other than those of the parent company; occurs when the acquiring company has less than a 100



percent ownership interest.

modified accelerated cost recovery system (MACRS) IRS regulations that allocate the cost of an asset according to predefined recovery periods and percentages.

cost recovery system (MACRS)
:

monetary measurement The idea that money, as the common medium of exchange, is the accounting unit of measurement, and that only economic activities measurable in monetary terms are included in the accounting model.

mortgage amortization schedule A schedule that shows the breakdown between interest and principal for each payment over the life of a mortgage.

mortgage payable A written promise to pay a stated amount of money at one or more specified future dates; a mortgage is secured by the pledging of certain assets, usually real estate, as collateral.

moving average A perpetual inventory cost flow alternative whereby the cost of goods sold and the cost of ending inventory are determined by using a weighted-average cost of all merchandise on hand after each purchase.

mutual agency The right of all partners in a partnership to act as agents for the normal business operations of the partnership, with the authority to bind it to a business agreements.

natural resources Assets that are physically consumed or waste away, such as oil, minerals, gravel, and timber.

net assets (owners' equity) The ownership interest in the assets of an entity; equal total assets minus total liabilities.

net income (or net loss) A measure of the overall performance of a business entity; equal to revenues minus expenses for the period.

net The difference between maturity value and discount when a note receivable

proceeds : is discounted.

**net
realizable
value :** The selling price of an item less reasonable selling costs.

**net
realizable
value of
accounts
receivable
:** The net amount that would be received if all receivables considered collectible were collected; equal to total accounts receivable less the allowance for uncollectible accounts; also called the book value of accounts receivable. <http://vustudents.ning.com>

net sales : Gross sales less sales discounts and sales returns and allowances.

**net tax
liability :** The amount of tax computed by subtracting tax credits from the gross tax liability.

**nominal
accounts :** Accounts that are closed to a zero balance at the end of each accounting period; temporary accounts generally appearing on the income statement.

**noncash
items :** Items included in the determination of net income on an accrual basis that do not affect cash; examples are depreciation and amortization.

**noncash
transactions
:** Investing and financing activities that do not affect cash; if significant, they are disclosed below the statement of cash flows or in the notes to the financial statements.

**nonoperating
assets :** Investment and other assets not used in a business but held to earn a return separate from operations.

**nonprofit
organization
:** An entity without a profit objective, oriented toward providing services efficiently and effectively.

**no-par
stock :** Stock that does not have a par value printed on the face of the stock certificate.

**note
payable :** A debt owed to a creditor, evidenced by an unconditional written promise to pay a certain sum of money on or before a specified future date.



note receivable : A claim against a debtor, evidenced by an unconditional written promise to pay a certain sum of money on or before a specified future date.

notes to financial statements : Explanatory information considered an integral part of the financial statements.

NSF (not sufficient funds) check : A check that is not honored by a bank because of insufficient cash in the customer's account.

number of days' of inventory on hand : An alternative measure of how well inventory is being managed; computed by dividing 365 days by the inventory turnover ratio.

number of days' sales in receivables : A measure of the average number of days it takes to collect a credit sale; computed by dividing 365 days by the accounts receivable turnover.

number of days' sales invested in working capital : An alternative measure of the amount of working capital used in generating the sales of a period; computed by dividing 365 days by the working capital turnover.

open transaction : A transaction that is not completed at the end of the accounting period; a purchase that has not yet been paid for or a sale where payment is yet to be collected when the accounting period ends.

operating activities : Transactions and events that enter into the determination of net income.

operating assets : Long-term, or noncurrent, assets acquired for use in the business rather than for resale; includes property, plant, and equipment; intangible assets; and natural resources.

operating lease : A simple rental agreement.

operating leverage : The extent to which fixed costs are part of a company's cost structure; the higher the proportion of fixed costs, the faster income increases or decreases with sales volumes.

operating performance ratio : An overall measure of the efficiency of operations during a period; computed by dividing net income by net sales.

organizational structure : Lines of authority and responsibility.

other revenues and expenses : Items incurred or earned from activities that are outside, or peripheral to, the normal operations of a firm.

outstanding stock : Issued stock that is still being held by investors.

owners' equity (net assets) : The ownership interest in the assets of an entity; equal total assets minus total liabilities. <http://vustudents.ning.com>

parent company : A company that owns or maintains control over other companies, known as subsidiaries, which are themselves separate legal entities; control generally refers to more than 50 percent ownership of the stock of another company.

partnership : An association of two or more individuals or organizations to carry on economic activity.

partnership agreement : A legal agreement between partners; it usually specifies, among other things, the capital contributions to be made by each partner, the ratios in which partnership earnings and losses will be distributed, the management responsibilities of the partners, and the partners' rights to transfer or sell their individual interests.

par-value stock : Stock that has a nominal value assigned to it in the corporation's charter and printed on the face of each share of stock.

patent : An exclusive right granted for 17 years by the federal government to manufacture and sell an invention.

payee : The person (entity) to whom payment on a note is to be made.

P/E (price earnings) ratio : A measure of growth potential, earnings stability, and management capabilities; computed by dividing market price per share by earnings per share.

pension plan : A contract between a company and its employees whereby the company agrees to pay benefits to employees after their retirement.

periodic inventory method : A system of accounting for inventory in which cost of goods sold is determined and inventory is adjusted at the end of the accounting period, not when merchandise is purchased or sold.

perpetual inventory method : A system of accounting for inventory in which detailed records of the number of units and the cost of each purchase and sales transactions are prepared throughout the accounting period.

petty cash fund : A small amount of cash kept on hand for making miscellaneous payments.

physical safeguards : Physical precautions used to protect assets and records, such as locks on doors, fireproof vaults, password verification, security guards.

post-closing trial balance : A listing of all real account balances after the closing process has been completed; provides a means of testing whether total debits equal total credits for all real accounts prior to beginning a new accounting cycle.

posting : The process of transferring amounts from the journal to the ledger.

preemptive right : The right of current stockholders to purchase additional shares of stock in order to maintain their same percentage of ownership if new shares are issued.

preferred stock : A class of stock that usually provides dividend and liquidation preferences over common stock.

premium on stock : The excess of the issuance (market) price of stock over its par or stated value.

prepaid expenses : Payments made in advance for items normally charged to expense.

present value of \$1 : The value today of \$1 to be received or paid at some future date given a specified interest rate.

present value of an annuity : The value today of a series of equally spaced, equal-amount payments to be made or received in the future given a specified interest rate.

price-earnings (P/E) ratio : A measure of growth potential, earnings stability, and management capabilities; computed by dividing market price per share by earnings per share.

primary financial statements : The balance sheet, income statement, and statement of cash flows, used by external groups to assess a company's economic standing.

principal (face value or maturity value) : The amount that will be paid on a bond at a maturity date.

principal on a note : The face amount of a note; the amount (excluding interest) that the maker agrees to pay the payee.

prior-period adjustments : Adjustments made directly to Retained Earnings in order to correct errors in the financial statements of prior periods.

profitability : A company's ability to generate revenues in excess of the costs incurred in producing those revenues.

proper Policy regarding either a general class of transactions such as inventory

authorization or a specific transaction to achieve control objectives.

:

property dividend : The distribution to shareholders of assets other than cash.

property, plant, and equipment : Tangible, long-lived assets acquired for use in business operations; includes land, buildings, machinery, equipment, and furniture.

property, plant, and equipment turnover : A measure of how well property, plant, and equipment are being utilized in generating a period's sales; computed by dividing net sales by average property, plant and equipment.

proprietorship : A business owned by one person.

pro rata : A term describing an allocation that is based on a proportionate distribution of the total.

public companies : Entities whose stock is publicly traded.

purchase discount : A reduction in the purchase price, allowed if payment is made within a specified period.

purchase method : A method used to prepare consolidated financial statements when one company has acquired a controlling interest in another company with similar activities by exchanging cash or other assets for more than 50 percent of the acquired company's outstanding voting stock.

Purchase Returns and Allowances : A contra-purchase account used for recording the return of, or allowances for, previously purchased merchandise.

purchases account : An account in which all inventory purchases are recorded; used with the periodic inventory method.

purchases journal :	A special journal in which credit purchases are recorded.
qualified opinion :	Opinion issues when the work of the auditor has been limited in scope or the entity has failed to follow GAAP
real accounts :	Accounts that are not closed to a zero balance at the end of each accounting period; permanent accounts appearing on the balance sheet.
realized gains and losses :	Gains and losses resulting from the sale of securities in an arm's length transaction. http://vustudents.ning.com
receivables :	Claims for money, goods, or services.
recourse :	The right to seek payment on a discounted note from the payee if the maker defaults.
recovery period :	The time period designated by Congress for depreciating business assets.
redemption value :	The price, stated in the contract, to be paid by a company to repurchase preferred stock.
registered bonds :	Bonds for which the names and addresses of the bondholders are kept on file by the issuing company.
relative fair market value method :	A way of allocating a lump-sum or "basket" purchase price to the individual assets acquired based on their respective market values.
residual income :	The amount of net income an investment center is able to earn above a specified minimum rate of return on assets.
retail inventory method :	A procedure for estimating the dollar amount of ending inventory; the ending inventory at retail prices is converted to a cost basis by using a ratio of the cost and the retail prices of goods available for sale.

retained earnings : The portion of a corporation's owners' equity that has been earned from profitable operations and not distributed to stockholders.

return on investment (ROI) : A measure of operating performance and efficiency in utilizing assets computed in its simplest form by dividing net income by average total assets.

return on sales revenue : A measure of operating performance; computed by dividing net income by total sales revenue. <http://vustudents.ning.com>

return on stockholders' equity : A measure of overall performance from a stockholder's viewpoint; includes management of operations, uses of assets, and management of debt and equity, and is computed by dividing net income by average stockholder's equity.

return on total assets : An overall measure of the return to both stockholders and creditors; includes operating performance and asset turnover.

revenue recognition principle : The idea that revenues should be recorded when (1) the earnings process has been substantially completed and (2) an exchange has taken place.

revenues : Increases in a company's resources from the sale of goods or services.

ROI (return on investment) : A measure of operating performance and efficiency in utilizing assets computed in its simplest form by dividing net income by average total assets. <http://vustudents.ning.com>

S corporation : A domestic corporation that is recognized as a regular corporation under state law but is granted special status for federal income tax purposes.

sales discount : A reduction in the selling price that is allowed if payment is received within a specified period.

Sales Journal : A special journal in which credit sales are recorded.

Sales Returns and Allowances : A contra-revenue account in which the return of, or allowance for, reduction in the price of merchandise previously sold is recorded.

sales tax payable : Money collected from customers for sales taxes, that must be remitted to local governments and other taxing authorities.

salvage, or residual, value : Estimated value or actual price of an asset at the conclusion of its useful life, net of disposal costs.

SEC (Securities and Exchange Commission) : The government body responsible for regulating the financial reporting practices of most publicly owned corporations in connection with the buying and selling of stocks and bonds. <http://vustudents.ning.com>

secured bonds : Bonds for which assets have been pledged in order to guarantee repayment.

Securities and Exchange Commission (SEC) : The government body responsible for regulating the financial reporting practices of most publicly owned corporations in connection with the buying and selling of stocks and bonds. <http://vustudents.ning.com>

segregation of duties : Strategy to provide an internal check on performance through separation of custody of assets from accounting personnel, separation of authorization of transactions from custody of related assets, separation of operational responsibilities from record keeping responsibilities.

shareholders (stockholders) : Individuals or organizations that own a portion (shares of stock) of a corporation.

significant influences : Influence presumed if a company owns between 20% and 50% of another company.

social Federal Insurance Contributions Act taxes imposed on employee and

security (FICA) taxes : employer; used mainly to provide retirement benefits.

solvency : A company's long-run ability to meet all financial obligations.

special journal : A book of original entry for recording similar transactions that occur frequently. <http://vustudents.ning.com>

special order : An order that may be priced below the normal price in order to utilize excess capacity and thereby contribute to company profits.

specific identification : A method of valuing inventory and determining cost of goods sold whereby the actual costs of specific inventory items are assigned to them.

standard unqualified audit report : Audit report indicating that all auditing conditions have been met, no significant misstatements have been discovered and remain uncorrected, and the auditors feel the financial statements are fairly stated in accordance with generally accepted accounting principles.

stated rate of interest : The rate of interest printed on the bond.

stated value : A nominal value assigned to no-par stock by the board of directors of a corporation.

statement of cash flows : The financial statement that shows an entity's cash inflows (receipts) and outflows (payments) during a period of time.

statement of earnings (income statement) : The financial statement that summarizes the revenues generated and the expenses incurred by an entity during a period of time.

statement of partners' capital : A partnership report showing the changes in the capital balances; similar to a statement of retained earnings for a corporation.

statement of retained earnings : A report that shows the changes in the Retained Earnings account during a period of time. <http://vustudents.ning.com>

statement of stockholders' equity : A financial statement that reports all changes in stockholders' equity.

stock certificate : A document issued by a corporation to stockholders evidencing ownership in the corporation.

stock dividend : A pro rata distribution of additional shares of stock to shareholders.

stockholders : Individuals or organizations that own a portion (shares of stock) of a (shareholders) corporation.

stock split : The replacement of outstanding shares of stock with a greater number of new shares that have a proportionately lower par or stated value.

straight-line amortization : A method of systematically writing off a bond discount or premium in equal amounts each period until maturity.

straight-line depreciation method : The depreciation method in which the cost of an asset is allocated equally over the periods of an asset's estimated useful life.

subsidiary company : A company owned or controlled by another company, known as the parent company.

subsidiary ledger : A grouping of individual accounts that in total equal the balance of a control account in the General Ledger.

sum-of-the-years'-digits (SYD) depreciation method : The accelerated depreciation method in which a constant balance (cost minus salvage value) is multiplied by a declining depreciation rate. <http://vustudents.ning.com>

supplies : Materials used in a business that do not generally become part of the sales product and were not purchased to be resold to customers.

SYD (sum-of-the-years'-digits) depreciation method : The accelerated depreciation method in which a constant balance (cost minus salvage value) is multiplied by a declining depreciation rate.
<http://vustudents.ning.com>

tangible personal business property : Depreciable operating assets of a business, other than real property, including machinery, furniture and fixtures, automobiles and trucks, and equipment.

term bonds : Bonds that mature in one lump sum at a specified future date.

time period (or periodicity) concept : The idea that the life of a business is divided into distinct and relatively short time periods so that accounting information can be timely.

times interest earned ratio : Ratio that indicates the company's margin above the fixed interest charged to be paid to creditors; calculated by dividing income before interest and income taxes by interest expense.

trading securities : Debt and equity securities purchased with the intent of selling them should the need for cash arise or to realize short-term gains.

transactions : Exchange of goods or services between entities (whether individuals, businesses, or other organizations), as well as other events having an economic impact on a business.

transportation costs : Costs of transferring merchandise into or out of a firm.

treasury stock : Issued stock that has subsequently been reacquired by the corporation.

trial balance : A listing of all account balances; provides a means of testing whether total debits equal total credits for all accounts.

Uncollectible Accounts Expense : An account that represents the portion of the current period's receivables that are estimated to become uncollectible.

unearned revenues : Amounts received before they have been earned.

units-or-production depreciation method : The depreciation method in which the cost of an asset is allocated to each period on the basis of the productive output or use of the asset during the depreciation period.

unlimited liability : The lack of a ceiling on the amount of liability a proprietor or partner must assume; meaning that if business assets are not sufficient to settle creditor claims, the personal assets of the proprietor or partners may be used to settle the claims.

unrealized gains and losses : Gains and losses resulting from changes in the value of securities that are still being held.

unrecorded expenses : Expenses incurred during a period that have not been recorded by the end of that period.

unrecorded revenues : Revenues earned during a period that have not been recorded by the end of that period.

useful life : The term used to describe the life over which an asset is expected to be useful to the company; cost is assigned to the periods benefited from using the asset.

vertical analysis of financial statements : A technique for analyzing the relationships between items on an income statement or balance sheet by expressing all items as percentages.

weighted-average : A periodic inventory cost flow alternative whereby the cost of goods sold and the cost of ending inventory are determined by using a weighted-

average cost of all merchandise available for sale during the period.

work sheet : A columnar schedule used to summarize accounting data.

working capital : Current assets minus current liabilities.

working capital turnover : A measure of the amount of working capital used in generating the sales of a period; computed by dividing net sales by average working capital.

zero-interest bonds : Bonds issued with no promise of interest payments; only a lump sum payment will be made.

